

How do you judge investor sentiment?

One way is by listening to my own investors. When I start hearing the same comments from a number of my investors, it is a good reflection of what everyone is thinking.

For example?

When the retail stocks were getting hammered last year, my investors were all asking, "Why would you want to own any retail stocks?" Of course, that was exactly the right time to own them. That was the bottom of the retail sector.

Now that you have switched from net long to net short, what would get you long again?

Buying. If all of a sudden stocks stopped going down on bad news that would be a positive sign.

You did extraordinarily well in 1999 and then had an even more amazing 2000. [Vidich managed a very small fund before starting the current fund. This fund, which started in October 1999, made 87 percent in the fourth quarter of 1999 and 147 percent in 2000.] You obviously had to shift from being extremely bullish in 1999 to extremely bearish in 2000. How did you manage to time this transition so well?

I didn't switch from being a bull to a bear. First, I switched from being a bull to being hedged because the stocks I was long were up by so much. Once I was hedged, I was protecting my profits, and I began to notice that I was making all my money on the shorts. As more information came out, I realized that I should be selling my longs and keeping my shorts.

Do you use charts?

Charts are extremely important. One of the best patterns is when a stock goes sideways for a long time in a narrow range and then has a sudden, sharp upmove on large volume. That type of price action is a wake-up call that something is probably going on, and you need to look at it. Also, sometimes whatever is going on with that stock will also have implications for other stocks in the same sector. It can be an important clue.